

The Standard Group PLC

Unaudited Group Results for the 6-month period ended 30 June, 2018.
 The Board of Directors of The Standard Group PLC is pleased to announce the un-audited results for the six month period ended 30 June, 2018.

Consolidated Statement of Comprehensive Income for the 6-month period ended 30 June, 2018

	30-Jun-2018 (Unaudited) Kshs'000	30-Jun-2017 (Unaudited) Kshs'000
Revenue	2,398,838	2,439,529
Total operating Costs	(2,128,270)	(2,315,528)
Finance Costs (net)	(90,507)	(86,704)
Profit before income tax	180,061	37,297
Income tax expense	(54,018)	(3,007)
Profit after tax	126,043	34,290
Earnings per share Basics- Kshs	1.36	(0.34)
Earnings per share Diluted- Kshs	1.36	(0.34)
Dividend per Share - Kshs	-	-

Consolidated Statement of Financial Position as at 30 June, 2018

	30-Jun-2018 (Unaudited) Kshs'000	30-Jun-2017 (Unaudited) Kshs'000	31-Dec-2017 Audited Kshs'000
ASSETS			
Non Current Assets	2,449,842	2,726,247	2,585,175
Current Assets	1,886,545	1,837,843	1,874,462
Total Assets	4,336,387	4,564,090	4,459,637
EQUITY AND LIABILITIES			
Capital and Reserves			
Share Capital	408,654	408,654	408,654
Share Premium	39,380	39,380	39,380
Revenue Reserve	1,260,454	1,400,444	1,156,922
Capital Redemption Reserve	102	102	102
	1,708,590	1,848,580	1,605,058
Minority Interest	282,709	261,804	260,198
Total Shareholders' Equity	1,991,299	2,110,384	1,865,256
Non Current Liabilities	382,049	616,934	382,049
Current Liabilities	1,963,039	1,836,772	2,212,332
TOTAL EQUITY AND LIABILITIES	4,336,387	4,564,090	4,459,637

GROUP RESULTS

The Group reported a profit before tax of Kshs. 180M for the six month period compared to Kshs.37M for the same period in 2017.

Key drivers of the above performance were efficiency and costs optimization for the Group. Direct cost, returned a saving of 8% mainly driven by better engagement with our suppliers on pricing and high quality production with minimal wastage. The continuous focus on implementation of the documented business policies and procedures has seen the Group record an 8 % overheads savings due to increased efficiency.

Overall, the Group turnover declined by 2% against same period in 2017 to close at Kshs.2.39B.

The Trade debtors grew by 10% for the period under review. The impact of outstanding receivables from key clients including the Government contributed significantly to this growth.

OUTLOOK

The Board of Directors and Management are confident that with the continued stability in the business environment and the initiatives already in place, the Group will continue to post a positive result. The Board notes the need to aggressively collect the outstanding debt to enhance the overall ability to implement the strategic agenda of the Group in the remaining period of the year.

BY ORDER OF THE BOARD

Millicent Ng'etich
 Company Secretary
 17th August 2018

Condensed Consolidated Cashflow Statement for the 6-month Period ended 30 June, 2018

	6 Months ended 30-Jun-2018 Kshs'000	6 Months ended 30-Jun-2017 Kshs'000	12 Months ended 31-Dec-2017 Kshs'000
CASHFLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	109,300	490,306	870,766
Interest Paid	(90,507)	(86,704)	(181,051)
Tax paid	(40,001)	(20,868)	(36,490)
Net cash generated from operating activities	(21,208)	382,734	653,225
Net cash used in investing activities	(18,764)	(540,189)	(656,096)
Net cash (used in)/generated from financing activities	64,219	20,926	(66,818)
Net increase/(decrease) in cash & cash equivalents	24,247	(136,529)	(69,689)
Cash and cash equivalents at the beginning of the year	(369,851)	(300,162)	(300,162)
Cash and cash equivalents at the end of the period	(345,604)	(436,691)	(369,851)

Consolidated Statement of Changes in Equity for the 6-month period 30 June, 2018

	Share Capital Kshs'000	Share Premium Kshs'000	Capital Redemption Reserve Kshs'000	Revenue /reserve (deficit) Kshs'000	Shareholders' equity Group Kshs'000	Minority Interest Kshs'000	Shareholders' equity Total Kshs'000
As at 1 January 2017	408,654	39,380	102	1,428,014	1,876,150	199,944	2,076,094
Profit for the half year	-	-	-	(27,570)	(27,570)	61,860	34,290
Dividend paid	-	-	-	-	-	-	-
At 30 June 2017	408,654	39,380	102	1,400,444	1,848,580	261,804	2,110,384
As at 1 January 2018	408,654	39,380	102	1,156,922	1,605,058	260,198	1,865,256
Profit for the half year	-	-	-	103,532	103,532	22,511	126,043
Dividend payable	-	-	-	-	-	-	-
At 30 June 2018	408,654	39,380	102	1,260,454	1,708,590	282,709	1,991,299